Goldman Sachs Job Simulation Reflection

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Before completing the Goldman Sachs Internal Audit job simulation, I did not really know much about Internal Audit beyond the basic idea of reviewing financial information and ensuring a company is following rules. After going through the simulation, I realized the role is much broader than I originally thought. Internal auditors assess risks, business processes, internal controls, and potential weaknesses that could cause problems for the company or its clients. The simulation also showed me that the job requires strong attention to detail, analytical thinking, communication, and good judgment.

One of the main things I learned was the importance of having a risk mindset. Before this simulation, I mainly thought of risk as something negative that companies try to avoid. However, I learned that risk is not always something that can be completely eliminated. Instead, companies need to understand what risks exist, how serious they are, and what controls can be put in place to manage them. I also thought this idea could apply to everyday life as a student. For example, I can identify risks such as falling behind in class, missing assignments, or waiting too long to study for an exam. Thinking ahead and preparing for those problems is similar to how auditors try to identify risks before they become larger issues.

The first scenario focused on problems with trade execution on the Fixed Income Trading Desk. Out of 2,000 trades, 150 had discrepancies, for a discrepancy rate of 7.5%. The average execution time was five seconds, while the industry standard was three seconds. The delays also caused an estimated $500,000 in financial losses. What stood out to me in this scenario was how something that seems small, such as a delay of only a couple of seconds, can become a much bigger issue when it happens over a large number of trades. It helped me understand why auditors need to pay attention to small details and patterns in data instead of only looking for major problems.

The second scenario dealt with credit risk and non-performing loans. The percentage of non-performing loans increased from 4.5% to 7.5%, and $150 million out of the $2 billion corporate loan portfolio was non-performing. The scenario also showed that mid-sized companies accounted for a large share of the problem, with 80% of non-performing loans originating from that group. Their average credit score was 600, while the industry standard for low-risk clients was 700. This scenario helped me understand that credit risk does not end once a loan gets approved. A company might be in a good financial position when a loan is first given, but that situation can change. That is why ongoing monitoring is important. If the firm regularly reviews borrowers, it may notice warning signs earlier and take action before the loan becomes a larger problem.

The third scenario focused on Anti-Money Laundering controls. In the scenario, only 60% of suspicious transactions were reported, compared with an industry standard of 90%. It also showed that only 66% of employees had completed AML training, compared with a 95%

standard. Previous audits had already identified problems with AML controls, but there had not been much improvement. This example showed me that Internal Audit is not only focused on financial losses. A company can also face regulatory problems, legal issues, and reputational damage if its controls are not strong enough. I think this was probably one of the clearest examples of why internal controls matter because even if a problem does not immediately cost the company money, it can still create serious consequences later.

Another part of the simulation I found useful was learning that auditors need to understand why a problem is happening, not just point out that there is one. For example, if trades are taking too long to execute, the auditor would need to determine whether the issue stems from the business process, technology, employees, or something else. The same idea applies to the loan scenario. An increase in non-performing loans could be caused by weaknesses in the original approval process, poor monitoring afterward, or both. This showed me that auditing requires more critical thinking than I originally expected. It is not enough to simply notice that the numbers look wrong. You have to think about what caused the issue and what could realistically be done to improve it.

I also learned more about the importance of communication and teamwork. Internal Audit does not work completely on its own. Auditors may need to communicate with teams such as Risk, Compliance, Technology, and different areas of the business. Each team understands different parts of the company, so working together can help auditors get a better understanding of the problem. At the same time, auditors must remain objective and independent when evaluating whether controls are functioning properly. I thought this was interesting because it shows that the role requires both teamwork and independent judgment.

The simulation also made me think about skills that I can use in my own academic and professional life. Attention to detail was important throughout the scenarios because small changes in percentages or numbers could affect the overall risk level. Analytical thinking was also important in determining the problem and the type of control that could improve it. Communication is another skill that stood out to me because an auditor needs to explain a problem clearly and make recommendations that others in the company can understand and use.

Overall, the Goldman Sachs Internal Audit job simulation gave me a much better understanding of what Internal Audit actually involves. Before completing it, I thought auditing was mainly about reviewing financial information and checking for mistakes. After the simulation, I see that the role involves much more, including analyzing risk, reviewing controls, understanding business processes, and recommending improvements. I also liked that the simulation used realistic scenarios rather than just giving definitions. Even if I do not end up working specifically in Internal Audit, I think the skills I practiced, especially analyzing problems, paying attention to details, and thinking about risk, would be useful in many different business and finance careers.